PERSUADING REPORT

Swig

APRIL 2022

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EXECUTIVE SUMMARY

In 2010, the first Swig opened its doors. Now, 12 years later, there are 38 locations on the western half of the United States. Swig was founded with the purpose to provide a drive-thru drink shop that offered a variety of exclusive flavors. These combinations are what separates Swig from the competition.

COVID-19 has caused a shift in the American economy from traditional to more experientially based. With this shift, traditional management will need to also shift to a more experience-centric form. A common issue with traditional management as younger generations enter the workforce is high employee turnover. The planning, organizing, controlling, and leading of traditional management limit the possible solutions that would remedy these problems.

Experience-centric management is focused on and open to the perspectives of employees and customers where traditional management is not. The importance and relevance of employee and customer focused-management has grown as younger generations enter the workforce; having an experience-centric management addresses that importance. This article outlines strategies for implementing experience-centric management: reframing, agile, human experience, and metrics.

Swig should introduce these strategies with urgency to avoid falling behind the competition in the changing economy; Swig should showcase these innovative ideas to stay relevant and stay successful. Both customers and employees will see the fruits of experience-centric management in action, and Swig will have more assets than soda flavors.

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INTRODUCTION

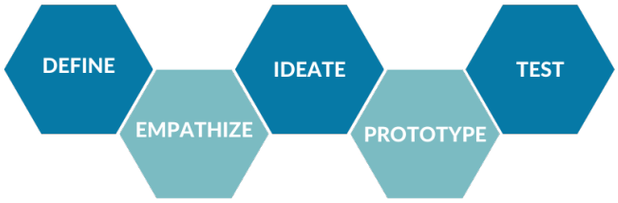
Traditional management is defined by four functions, which are planning, organizing, leading, and controlling. Planning is creating a plan to meet company goals and objectives. Organizing is ensuring the plan runs smoothly. Leading is being comfortable and confident in commanding team members' tasks and challenges. Controlling is the process of making sure the previous three are going well. These functions go hand in hand with the design thinking process to create experience-centric management.

We highlight three main differences between traditional and experience-centric management. First, traditional management is too rigid to effectively support the needs of employees. The experience design thinking process and mindset are more effective because they focus on designing final products that emphasize results and wants to customers and employees. Implementing empathy and prototyping to the traditional management format leads to superior intrinsic and extrinsic results.

The design thinking stages (empathy, define, ideate, prototype, and test) can fit into the functions of management. Empathizing while planning is essential. To truly understand the goals and objectives, you must empathize and understand the needs of those for whom you are creating goals. After you have emphasized, you should clearly define the problem, use ideation to solve it, and then prototype solutions. If an organization goes through the design thinking process, they will have a clear plan in mind.

Organizing is like the prototyping phase of the design thinking process because it is a stage of preparation where management is allocating resources, dividing labor, and assigning tasks to different divisions. The prototyping phase also involves preparing for a final test (or the final product) by creating blueprints, finding and preparing resources, and collaborating as a team to work towards the final goal.

DESIGN THINKING PROCESS



Leading is interconnected to organizing. The leader keeps employees on track, and guides their work in an effective way. Leaders encourage others to keep trying new processes, and work through the adjustments made as the process is tested. Better leaders focus more on the relationships between employees than on the final product to ensure that team work continues to run effectively.

Controlling is where an organization receives feedback and acts upon it. Management controls the process and people working on the project to ensure efficiency. Once a given conference, meeting, or event is over, managers use the feedback received to transition back to the empathy and planning stages for future projects. Management can also receive feedback about company culture, how well they lead, and other things to improve the overall employee experience.

Taking the traditional management process and combining it with the design thinking process creates experience-centric management. By comparing them side-by-side, managers can find strategies to create efficient work environments and more cohesive management structures.

Traditional Management

vs.

Experience-centric Management

Traditional Management	Experience-centric Management
Planning. Setting performance objectives and deciding how to achieve them	**Empathize, Define & Ideate.** Transforming human desires into a practical, planned framework
Organizing. Arranging tasks, people, and other resources to accomplish the work	**Prototyping.** Preparing for the final test by collaboratively preparing blueprints and resources.
Leading. Inspiring people to work hard and achieve high performance	**Testing**. Leaders should focus more on the relationships between employees to ensure projects get completed
Controlling. Measuring performance and taking action to ensure desired results	**Reflection.** Use feedback to transition back to the empathy and planning stages for future projects

REFRAMING

Experience-centric management focuses on the employee and customer experience to increase an organization's profit, employee productivity, and customer satisfaction. The change from traditional management to experience-centric management may be confronted with resistance from employees; however, this can be eliminated by intentional communication with employees throughout the process. Managers should foster a culture of collaboration and commitment to ensure that the shift to experience-centricity is successful.

Experience-centric management largely impacts the employee and customer experience of an organization. Improving the culture of an organization so employees feel as though they belong is tied to "... increases of up to 34% in engagement, 31% in retention likelihood, and 13% in performance" (Crichlow, 2022). Employees are the lifeblood of an organization, so investing in this asset equates to investing in the success organization. Organizations gain a competitive edge when they empower their employees (Chowhan, 2021). Empowered employees better implement and maintain customer experiences, and in turn generate more revenue for the organization (Chowhan, 2021). Once the "total experience" of an organization is well designed and implemented, the organization can expect to see an increase in revenue, productivity, profitability, and customer satisfaction (Chowhan, 2021).

The process of organizational change is, according to the Harvard Business School, to "first define the organizational change, understand why it's critical, and garner support from your colleagues. Then, create a roadmap that clearly articulates and measures success, and explains how the business–and its employees, customers, and constituencies–will be affected" (Yohn, 2018). Some employees will naturally resist these changes; but, the key to overcoming this resistance is to create streams of open communication in the workplace and build professional relationships with the employees (Camp, 2020). Open communication creates a sense of inclusion and ownership of the changes, which is amplified by assembling teams of employees tasked with the role of smoothly implementing the desired changes (Zukof, 2021). The sense of community will grow, and resistance to the changes will diminish as excitement grows.

As an organization shifts to a more experience-centric structure, managers should assemble teams of employees tasked with ensuring that the implementation of the desired changes transitions smoothly. According to Kathryn Zukof, the most important step leaders can take to implement experience-centric organizational change is to include the employees every step of the way (Zukof, 2021). In order to be successful, employees should help with decision making. This will help them buy-in to the new structure and be more committed to follow it consistently.

Fostering employee involvement will also decrease any resistance to organizational change. Involving employees will also strengthen relationships, which leads to a shared purpose and meaning (Morrow, 2021). This starts with management, as "nurturing the employee experience is something a good manager does" (Morrow, 2021). When managers care about employees, employees care about the customers. This ultimately ends in a better business model.

Change is a delicate process. There is bound to be resistance, especially while trying to transform a traditional management system into an experience-centric style. The best way to minimize the resistance to change is by making small changes over time. Managers should keep the big picture in mind as they implement changes little by little. The small changes may not seem like they are of great significance; however, the sum of all the changes account for some increases in productivity that occur when organizations experience change.

The best way to create small changes is to adjust the touchpoints between the employee and the organization. An example of an easy adjustment is creating more inclusive indicators that provide a better representation of the employees' mindsets. Employees are vital to an organization's success. They interact with and create the experience for the customer. Organizations should take care of their employees so the employees can focus on creating positive customer interactions. Employees that are well taken care of have more time and energy to make strategic decisions that positively impact the customer experience (Chowhan, 2021). By improving the employees' experience, the organization also improves their customer's experience. Designing a positive customer experience leads to customer loyalty which improves the bottom-line of an organization. Having a positive experience for the employees is a sure way of improving the success of the organization.

Experience-centric management is crucial to the success of an organization in the rising experience economy. When an organization's structure is based on experience-centric management, employees feel a sense of belonging and appreciation. As a result, employees can more effectively serve customers. Utilizing strategic communication will prepare employees to embrace and implement organizational change. In addition, employees can work to the best of their abilities and be challenged to grow individually and collectively. Experience-centric management allows for a better customer and client experience which leads to greater success among the organization and its employees.

AGILE

Agile is a function of management that requires flexibility in the face of challenges. It is people-driven and people-centered. Agile management celebrates and relies on the skills that each individual contributes. Agile places emphasis on collaboration and equality for team members. Flexibility, adaptability, creativity, and engagement are essential to support a successful agile environment. The success of agile management is often shown through higher quality products, greater satisfaction from both the customer and employee, and greater overall productivity and teamwork. The two agile systems that are most commonly used are the Scrum and Kanban methods. They work well together to build off each other, or separately to highlight the efficiencies of each.

SCRUM

An agile scrum team is usually formatted to have short stand-up meetings, and closely collaborate with their customers. This allows for quick feedback from the target audience. The teams have no more than 10 members that work through problem-solving together. Scrum teams are good for "projects that have the potential to evolve over time, deliverables are released in increments, and projects that require consistent customer feedback" (Wrike). They usually work on projects that last between one to four weeks. The scrum master, or leader, helps coach the team members through the project. The close and dynamic relationship between customer and company facilitates experience-centricity as the organization becomes more acclimated to preferences. Swig can use scrum in their individual stores with the employees, or it can be used in communications with other teams.

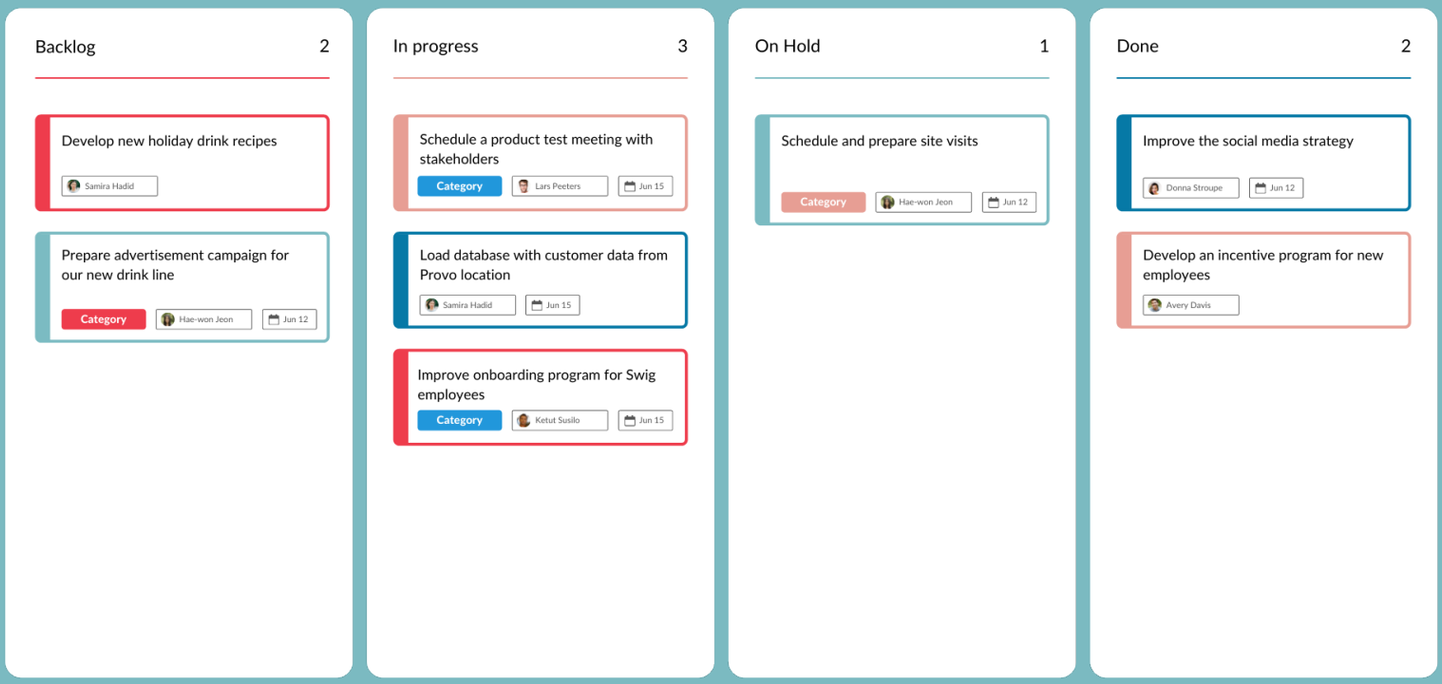
KANBAN

Kanban methods include cyclical flow of projects until they are adapted to the needs and wants of the organization or the customer. The projects typically move through three phases. The phases are represented as what has already been accomplished, what is currently being worked on, and what will be completed in the future. The Kanban method is effective for projects that involve continuous delivery and where process improvement is a top priority (Wrike). Swig should utilize the Kanban method for longer term projects that each individual store works on. This method would also prove effective in the marketing and social media relations side of the business.

Implementing the Kanban method includes the following steps:

1. "Visualize your current workflow
2. Apply Work-in-Process limits
3. Make policies explicit
4. Manage and measure flow
5. Optimize iteratively with data" (McAfee)

EXAMPLE KANBAN FRAMEWORK



HUMAN EXPERIENCE

Employee experience is the journey employees go through from the interview process through retirement (Cheng, 2020). Employee experience looks at all of the touchpoints an employee experiences throughout their journey at an organization. The goal of employee experience is to design an impactful journey for employees in order to help them succeed in their role and find joy and motivation in going to work. Employees present the company to the customer. When employees are motivated and satisfied in their work, they are more likely to bring in lifelong customers. "Employees interact with customers, make them smile, and carry your brand message from the warehouse to the front lines. If your employees are having a great experience, so will your customers" (Maylett).

There are many benefits to a positive employee experience. Some financial benefits are increased revenue, better customer experience, outperforming competitors, more growth, and more profitability (Van Vulpen). These benefits are helpful for organizations to know because they facilitate success in businesses, and the organization will have increased performance as they create a better employee experience. Workplace culture also improves with good employee experience. In a study done by Kinne, they found that good employee experience leads the employees to "demonstrate a greater sense of belonging, purpose, achievement, happiness, and vigor" (Kinne).

These qualities improve the work culture and the employees' work because they feel good about working at that company. Employee excitement about work becomes a cycle where employee experience improves the culture of the workplace. This leads to an improving employee experience, and the cycle continues.

An employee journey map is a "visualization of the timeline of the entire employee experience... It depicts all the key touchpoints along the way while underscoring employee needs and pain points. Gaining a deeper, holistic understanding of a person's journey experience helps organizations create a better overall employee experience" (Ruttgaize, 2021). Ask questions such as: how do people experience work, what are the moments that matter, and how do we co-create wow moments that matter?

Creating an employee journey map is seeing what a particular employee will experience and creating an environment that is suited to their individual wants and needs. Unfortunately, a journey map alone is not enough for success. A leader must empathize with each employee's journey. They must see things through the employee's eyes to ensure that this practice is not relegated to being a process. Creating better human-centered management and experience is a hands-on, personal journey where employees regularly feel accomplished and receive acclaim for their achievements.

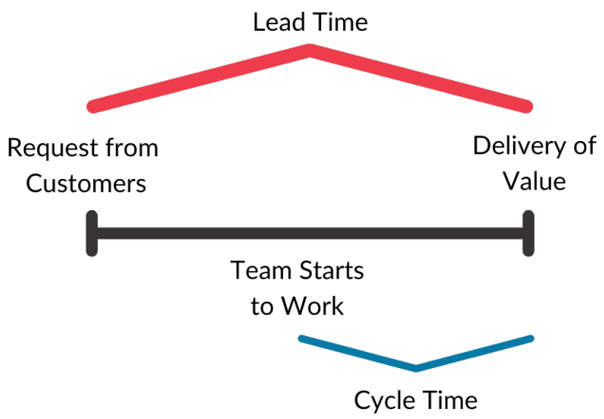
Understanding and supporting employees' needs ultimately leads to better customer experience and overall business performance. When employees feel cared for by organizations that go above and beyond to support their well-being, employeesl feel empowered to go above and beyond for customers.

Recommendations for improving the employee experience at Swig include the following:

1. Routinely surveying employees to understand their needs, frustrations, and general feedback
2. Using empathy data to create touchpoints that make employees feel cared for (celebrating birthdays, recognizing school achievements, giving employees sufficient breaks, etc.)
3. Creating a comfortable break/socialization area
4. Using an organized online communication platform to communicate important matters to employees
5. Planning employee activities outside of work to build a more collaborative work environment
5. Designing a fun and engaging onboarding experience, focused on making sure employees feel comfortable and get the hang of the fast-paced environment quickly (with reduced stress)

METRICS

Swig should utilize lead time, cycle time, and employee customer/surveys in the implementation of the Agile method into their business processes. Lead time is a simple metric which measures the time from when a customer makes a request to the time of the employee's delivery of the value/good(s) requested. Cycle time is a subset of lead time, and measures from when the team starts working on the product, to the time it is given to the customer. The graphic depicts the relationship of both.



As a fast-drink business, Swig should recognize that these metrics are vital to its profitability; the faster an order is completed in both cases, the more orders the organization can profit from. So how will these metrics actually help, other than providing the timeframe needed to complete single items? The Agile Academy, a platform that specializes in implementing agile to organizations, showcases the benefits of using lead time and cycle time. "Over time and through continuous measurements, [management] can see whether a team is improving in its ability to deliver value to customers. The ultimate goal is to reduce the lead time as that is something valued by customers. A reduction in cycle time can be of help e.g. through focusing the team on finishing things before starting new things by introducing Work-in-Progress Limits" (Salimi).

The work in progress limits referred to are rules management can implement in order to help employees focus on completing specific tasks instead of other stressors that happen in a fast drive-thru environment, where speed is the key. The Agile Academy explains that, "in many cases though there are some pretty big levers you can pull before a team starts working on the request e.g. prioritizing properly, engaging in collaborative discussions with (co-workers) to enable faster refinement of requests, etc" (Salimi).

In summary, being able to gauge the time from request to delivery is vital. Being able to analyze all the processes and ingredients involved will allow for more efficient work, more satisfied customers, and more profits for Swig. The work-in-process limits will allow for better-focused and less-stressed employees when work gets busy. Overall, these metrics will allow further improvements to be made by management and employees.

Gauging the effectiveness of these metrics beyond profits is very important. It's measured through surveys to both employees and customers. Both employee and customer are extremely important to an organization's sucess, and providing the best experience for them is key. Gathering user feedback is vital to delivering these experiences. One of the best methods, which Swig should utilize, is through surveys. Research shows that 100% of 18-29 year olds use the internet, and 96% use a smartphone (Mahmutovic, 2020). Because a large part of Swig's target market falls in this age range, online surveys will be easily accessible for Swig employees and customers.

Because Swig is a smaller corporation with less resources, Swig should use easily accessible and inexpensive methods. Online surveys meet both of these needs. In order to execute these surveys, two major resources are required: people to take the surveys, and devices to take them on. Surveys should be short and focused with specific objectives. Surveys with the best completion rates "take no longer than 5 minutes… typically surveys with 10… questions fit this guideline" (Tips for ideal survey length, 2020).

Free response questions should be limited to three questions because they take up the most time. The other questions should be a variety of multiple choice, or variations of agree and disagree. The free responses are not easily quantitative, but will be useful in answering the "why, how, or what happened behind certain behaviors" (Fullstory Education Team, 2021). Other types of questions have the opposite effect. They are quantitative, and can be "analyzed using statistical analysis" (Fullstory Education Team, 2021).
The analyses of the lead time, cycle time, and customer/employee feedback provide the tools for Swig to become an Agile organization, which enables the company to provide the best value for both themselves and their customers.

CONCLUSION

Creating an experience-centric approach to Swig's management will create more profit and happier employees. As Swig creates organizational shifts towards agile management and implements these recommendations slowly and effectively, employee and customer experience will significantly improve.

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